SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

Question 1 (17 marks – approximately 30 minutes)

Universe Limited is a retail chain store selling jewellery in Hong Kong. The balance of the company's bank account had a credit balance of HK$5,600 on 31 December 2020 which did not agree with the bank statement balance on the same date. After an investigation, the company found the following possible reasons for the disagreement:

(1) Cheques drawn to the suppliers amounting to HK$45,000 and deposit of HK$49,000 had not yet been recorded by the bank.

(2) Bank charge of HK$6,700 had not yet recorded in the company's bank account.

(3) A customer's cheque for HK$22,000 was returned by the bank and marked as "wrong account name" in the bank statement. The returned cheque had not been entered in the company's bank account.

(4) A receipt in cheque for HK$55,000 had been wrongly recorded as a payment in the company's bank account.

(5) The company recorded a receipt from a customer for HK$33,000. However, the cheque was a post-dated cheque and was still kept in the cashier's drawer on 31 December 2020.

(6) A repayment of loan for HK$9,800 had been recorded as HK$8,900 in the company's bank account.

(7) A direct transfer of HK$28,000 for the settlement of rental fee was completely omitted in the company's bank account.

(8) Credit side of the company's bank account had been overstated by HK$8,800.

(9) A cheque amounting to HK$10,200 drawn for the payment of advertising fee had been entered twice in the company's bank account.

Required:

(a) Prepare the bank ledger account of Universe Limited for December 2020.
(11 marks)

(b) Prepare a bank reconciliation statement for Universe Limited as at 31 December 2020.
(6 marks)

<u>Question 2</u> **(31 marks – approximately 57 minutes)**

The following balances relate to Kitman Limited as at 31 March 2021:

	HK$	HK$
Sales		2,856,000
Purchases	1,056,000	
Returns inwards	23,000	
Operating expenses	84,000	
Rent and rates	121,000	
Electricity and water	156,000	
Salaries	247,000	
Carriage inwards	63,000	
Carriage outwards	78,000	
Selling and distribution costs	88,000	
Bank loan interest	40,000	
Interim dividends (ordinary shares)	200,000	
Building	4,200,000	
Furniture and equipment	2,800,000	
Accumulated depreciation, at 1 April 2020		
- Building		630,000
- Furniture and equipment		390,000
Inventory, at 1 April 2020	642,000	
Cash at bank	471,000	
Trade receivables	366,000	
Allowance for impairment loss on trade receivables		16,000
Trade payables		348,000
4% Bank loan		2,000,000
Ordinary share capital		2,000,000
Retained earnings, at 1 April 2020		1,595,000
General reserves		800,000
	10,635,000	10,635,000

Additional information:

(1) The cost of inventory as at 31 March 2021 was HK$554,000.

(2) The following information is available for tangible non-current assets:

- The company adopts the revaluation model for building, and cost model for all other tangible non-current assets.
- All tangible non-current assets are depreciated on a straight line basis over their estimated useful economic life of 20 years.
- It is the policy of the company to eliminate the accumulated depreciation against the gross carrying amount of the asset in a revaluation.
- The building was revalued at HK$4,800,000 on 31 March 2021 but this has not yet been recorded in the books of Kitman Limited. This building was acquired on 1 April 2017. No revaluation has yet been provided for the year ended 31 March 2021.

(3) Kitman Limited performs impairment assessment on trade receivables at the end of each year, and the allowance for impairment loss on trade receivables at 31 March 2021 was assessed at HK$20,000.

(4) Rent of HK$52,000 for the two months ended 30 April 2021 was settled and recorded on 28 February 2021, while electricity of HK$48,000 for the month of March 2021 was not yet paid nor recorded as at 31 March 2021.

(5) The accountant of Kitman Limited found that the return of goods to the supplier for HK$12,000 was wrongly debited to the returns inwards account and credited to the trade receivables account.

(6) Income tax on the current year profit was estimated to be HK$180,000.

(7) On 31 March 2021, the directors recommended to transfer HK$300,000 to general reserves.

(8) The bank loan was borrowed in 2019 and to be repaid in full in 2025. Interest is payable half-yearly on 30 September and 31 March each year. Interest for the second half of the year has not yet been settled.

Required:

(a) Prepare the statement of profit or loss and other comprehensive income for the year ended 31 March 2021 for Kitman Limited.

(16 marks)

(b) Prepare the statement of financial position as at 31 March 2021 for Kitman Limited.

(15 marks)

Question 3 **(9 marks – approximately 16 minutes)**

Nike Limited is a manufacturer operating garment factory in Hong Kong. The company's profit for the year ended 31 December 2020 was HK$56,000,000.

(1) On 30 October 2020, the company purchased a batch of screwdrivers for HK$100 that is expected to be used for five years. The company recognised the screwdrivers as an expense in the financial statement for the year ended 31 December 2020.

(2) Over the years, all computers have been depreciated using reducing balance method based on the rate of 20%. On 1 January 2020, the company acquired two more sets of computers. These two sets of computers are to be depreciated using straight-line method based on an estimated useful life of five years.

Required:

State and explain the appropriateness of the above-mentioned accounting treatments for Nike Limited with the support of the relevant accounting basis/ concepts/ qualitative characteristics.

(9 marks)

Question 4 **(23 marks – approximately 41 minutes)**

Octopus Limited had its financial year ended on 30 September 2020. On 1 October 2019, it had the following account balances:

		HK$
Non-current assets:		
Furniture	- Cost	4,800,000
	- Accumulated Depreciation	1,800,000
Motor vehicles	- Cost	2,600,000
	- Accumulated Depreciation	1,820,000

Additional information:

(1) Additional furniture was acquired from a supplier on 1 April 2020, and the costs were as follows:

	HK$
Invoice price	800,000
Delivery cost	8,000
Value-added tax	16,000
One-year insurance fee	32,000

Octopus Limited settled the above costs by ways of 5% bank loan. The loan is repayable in 2021 and interest is payable half-yearly on 31 March and 30 September each year.

(2) On 30 September 2020, one of the motor vehicles was sold at a price of HK$362,400. The motor vehicle had been acquired at cost of HK$800,000 on 1 October 2017.

(3) It is the policy of the company to depreciate furniture at the rate of 10% per annum using straight-line method, and motor vehicles at the rate of 20% per annum using reducing balance method. Depreciation is charged on a monthly basis.

Required:

(a) Prepare the relevant journal entries for the year ended 30 September 2020.
(20 marks)

(b) Prepare extracts to the statement of financial position as at 30 September 2020, showing balances of the non-current assets for Octopus Limited.
(3 marks)

* * * END OF EXAMINATION PAPER * * *